

Questions to Ask Before Your First Investment in a Mutual Fund

A short checklist for first-time investors

Most first investments begin with a name — a scheme someone mentioned, or one that did well last year. The questions below start somewhere else. They are meant to make sure the investment fits the money, the timeline and the temperament of the person making it.

01 What is this money for, and when will I need it?

The goal and the time horizon decide everything that follows — the category, the risk you can carry, and how you should judge the fund later. A number without a purpose is hard to stay invested in.

02 Do I understand that returns are not assured?

Mutual funds are market-linked. Past performance is history, not a forecast, and no return is promised by anyone at any point. If that sentence makes you uneasy, start smaller.

03 What kind of scheme is this, and what does it invest in?

Equity, debt, hybrid and index schemes behave very differently. Read the scheme category, the asset allocation and the benchmark before the performance chart.

04 How much can this fall in a bad year — and can I sit through it?

Look at the risk-o-meter and the worst stretches the category has seen. The question is not whether you can accept a fall on paper, but whether you will stay invested during one.

05 What will it cost me to own and to exit?

Check the expense ratio, the exit load and the minimum holding period. Also confirm whether you are in a regular or direct plan and what that difference means.

06 How will this be taxed when I redeem?

Tax depends on the scheme type and how long you hold it. Knowing this before you invest prevents redeeming at the wrong time for the wrong reason.

07 Am I completing my KYC and nomination correctly?

PAN, KYC, bank mandate and nominee details should be accurate and consistent across folios. Most transmission difficulties later begin with a blank nomination today.

08 Do I have an emergency buffer and my insurance in place first?

Investing before protection is in place usually means redeeming at the worst possible moment. Cover the shocks first, then invest the surplus.

Before you invest

Read the Scheme Information Document and the Key Information Memorandum before you commit. Keep your folio numbers, registered email and mobile number consistent, and record the nominee for every folio you open.